

Aionion Capital Market Services Private Limited

Policy on Pre-funded Instruments

DOCUMENT VERSION CONTROL

DATE	VERSION	PREPARED BY	REVIEWED BY	APPROVED BY
05/03/25	1.0	Compliance Officer	Kumar Mahlingam Iyer	Board of Directors
02/03/26	1.1	Compliance Officer	Kumar Mahlingam Iyer	Board of Directors

Document Definition: This “Policy on Pre-funded Instruments” defines the framework and procedures adopted by the Company for acceptance, verification, monitoring, and control of funds received through pre-funded instruments from clients.

The Policy is formulated in accordance with the guidelines, circulars, and regulatory requirements issued by Securities and Exchange Board of India, stock exchanges, and applicable Anti-Money Laundering (AML) regulations to prevent misuse of the securities market for money laundering, fraudulent transactions, or unidentified fund transfers.

Policy on Pre-funded Instruments

1. Objective

To ensure compliance with SEBI/NSE guidelines and prevent acceptance of third-party funds while maintaining an audit trail for all pre-funded instruments.

2. Scope

Applies to all Demand Drafts (DD), Pay Orders (PO), Banker's Cheques (BC), and other pre-funded instruments received from clients.

3. Policy Guidelines

Instruments below ₹50,000 per client per day

- Can be accepted.
- Must be recorded in the *Pre-funded Instrument Register* with date, client name, bank name, and amount.

Instruments of ₹50,000 or more per client per day

- Can be accepted only with proof from the issuing bank showing the account holder's name and account number from which the funds were debited.
- Acceptable proofs:
 - Bank certificate/letter with seal
 - Certified copy of requisition slip
 - Certified copy of passbook/bank statement
 - Authentication on the reverse of the instrument by the issuing bank

Multiple instruments in a single day

- If the total value from a client exceeds ₹50,000, bank proof must be obtained at the time of breaching the limit.

Electronic Fund Transfers (EFT/RTGS/NEFT)

- Must maintain an audit trail to confirm funds came from the client's own account.
- Instruments received indirectly (by post/courier/without client presence)
- Must not be deposited until the client or the issuing bank confirms details.

Credit to client ledger

- Instruments will be credited to the client's account only after verification by Head Office/compliance staff.

4. Record Keeping

A Pre-funded Instrument Register (physical/electronic) must be maintained.

Records should be available for inspection by NSE/SEBI/auditors.

5. Responsibility

Operations staff must follow the policy strictly.

Compliance Officer will periodically review adherence.